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Agribusiness | Latin America

# Because You Asked: What If We Have a Super El Niño This Year?

NOAA has confirmed an El Niño for this year & raised the probability of a very strong event to 63%. It could rank among the strongest El Niños ever, with especially large implications for commodities, inflation, growth, FX, equities & regional economies. We take a first look at what may be ahead.

## Key Takeaways

- NOAA's probability of a very strong El Nino during Nov-Jan has increased significantly, to 63% (from 37%); it could rank among the strongest such events ever.
- Tail risk has increased … but some experts caution about extrapolating to "super El Niño" as confidence declines further out the curve.
- As we gain clarity on the scale of El Niño, we intend to work with our global colleagues to address the implications for commodities, FX, equities & economies.
- Commodity implications mixed: Upside risk is clearest for sugar, palm oil, cotton (El Niño drought tightening supply); timing should be key for corn and soy.
- Equity implications vary meaningfully: Possible beneficiaries SMTO3 and ADECO; higher risks for SLCE3 and RAIL3.

**El Niño has officially formed.** NOAA's US Climate Prediction Center issued an El Niño Advisory this morning, confirming that Pacific Ocean surface temperatures have warmed sufficiently to trigger an atmospheric response while the strength distribution has shifted toward stronger outcomes.

**El Niño is moving from weather noise to investment signal.** According to NOAA's latest framework there is a 63% chance it evolves into a very strong event — potentially one of the strongest on record. The market is asking the right question — not simply whether El Niño will form, but whether it will strengthen early enough to hit the crop windows that matter for sugar, soybeans, corn, logistics volumes, and listed agribusiness equities.

**Recent rapid ocean warming explains more extreme model outputs, and tail risk has increased,** though the probability-weighted guidance does not predict a record event yet and some experts caution about extrapolating to super El Niño as confidence declines further out the curve. As we gain clarity on the scale of El Niño, we intend to work with our global colleagues to address the implications for commodities, FX, equities, and regional economies.


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**Exhibit 3 :** The event is still in its early stages, but forecasters broadly expect conditions to worsen materially through late 2026.

| Segment | Implication | Investor Takeaway |
| --- | --- | --- |
| Ag (Softs) | Analogues point to tighter sugar/palm supply (dryness), with more mixed coffee dynamics. | Bullish softs skew, led by sugar/palm; coffee more path-dependent. |
| India Monsoon | Downside rainfall risk; tighter supply. | Support for sugar prices. India is world's 2nd largest sugar producer. |
| Food | Adds to already elevated food inflation (supply + tariff backdrop). | Upward pressure on grocery prices into 2027. |
| Fishing (Peru) | Warming waters disrupting anchovy harvest. | Fishmeal supply risk, feeds into livestock costs. |
| Shipping (Panama Canal) | Risk of renewed water constraints; contingency planning underway. | Tail risk to trade flows/freight costs. |
| Ag (South Africa) | Drought risk into key planting window. | Incremental upside to global crop prices. |
| Wildfires | Already elevated activity; conditions likely to worsen. Brazil CS sugar crop. | Rising physical risk exposure across assets. |

Source: Morgan Stanley Research.


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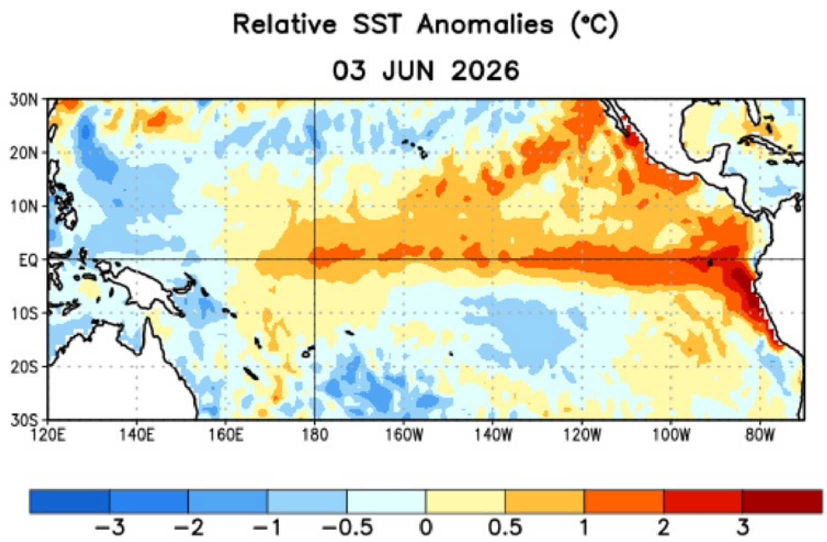
**Exhibit 1:** Central/eastern Pacific SST anomalies are now clearly positive, confirming the ocean-side setup for a likely very strong El Niño




Source: NOAA.

**The current setup points to a strong to very strong event that peaks in late 2026 / early 2027 (ONDJ),** similar to very strong events analogs in 1982/83, 1997/98, and 2015/16. Tail risk has increased, but the historical "super" comparison still requires confirmation through summer ocean-atmosphere coupling, observed Niño 3.4 warming, and model convergence after the spring predictability barrier. A key open question is whether the event can exceed a +2.5°C anomaly and surpass past extremes; by definition, El Niño reflects sustained warming in the central equatorial Pacific, with global spillovers via shifts in rainfall patterns and temperature distributions

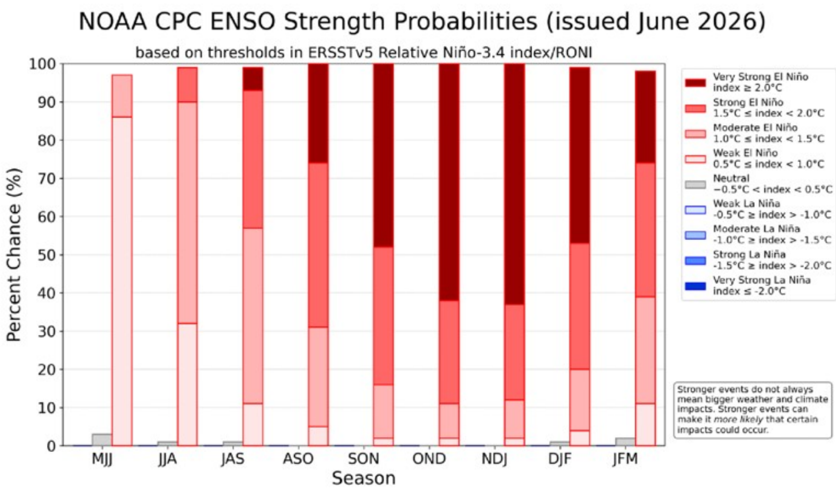
**Early signals point to meaningful weather disruption in Brazil** — excess rainfall in the South/Center-South and irregular precipitation elsewhere — creating downside risk to crop timing and yields (soy delays, second-crop corn vulnerability) and early evidence of quality losses in key crops (sugar, coffee, cotton) as out-of-season rains persist.

**Sugar is the most sensitive to El Nino effects.** In theory, sugar has the clearest upside skew because potential drought in Asia — down the curve (27/28), since in the short-term prices may still be pressured by ample supply from ongoing Brazilian harvest. Soybeans are more complicated: In Brazil, 26/27 Mato Grosso and MATOPIBA carry downside risk, while Rio Grande do Sul and Argentina often benefit. Corn is a timing trade on Brazil safrinha (second corn harvest; 80% of national production) compression and US summer stress.

**Equity implications vary meaningfully:** All else equal, El Niño can be constructive for São Martinho (higher sugar prices) and Adecoagro (improved Argentina rainfall), while more challenging for Rumo and a weather-risk factor for SLC Agrícola. For Rumo and SLC, investors should closely monitor Mato Grosso / MATOPIBA rainfall, planting pace, and the safrinha setup.

**What to watch for? Three things.** First, whether the event keeps strengthening through the North Hemisphere summer. Second, whether sugar supply risk starts to materialize through India/SE Asia crop stress or weaker Brazil crush execution. Third, whether grain risk becomes tangible through US summer stress and Brazil planting delays

**Exhibit 2:** NOAA/CPC now assigns a 63% (up from 37%) probability to a very strong El Niño in Nov-Jan, making intensity the key watchpoint




Source: NOAA.

**What investors will find inside**

- Why Markets Are Talking About a “Super El Niño” Now: stronger NOAA probabilities, higher subsurface heat, aggressive model tails, and memories of 2015/16.
- Analog years commodity implications.
- What to Watch Next.

# Why Markets Are Talking About a 'Super El Niño' Now

**The market is reacting to a fatter upper tail risk.** NOAA's strength distribution now assigns meaningful odds to strong or very strong El Niño outcomes later this year. That has pushed "super El Niño" language into the market conversation, even though official guidance remains probability-weighted and does not yet confirm a record event.

**The trigger is the combination of probability, subsurface heat, and model dispersion.** The internal work highlights rapid Pacific warming, high subsurface heat, and improving atmospheric alignment as reasons some dynamic models have moved toward more aggressive outcomes. The same work also stresses that spring forecasts are less reliable, keeping the "super" outcome as tail risk rather than central case.

**The recent precedent is 2015/16, but the comparison may also include the 2023/24 — and even the 1877/78 event that is considered the most extreme El Niño ever.** The 2015/16 event matters because it generated a powerful sugar-price cycle and meaningful agricultural disruption. But the internal analog work suggests current conditions also look closer to the gradual 2023/24 trajectory versus a confirmed 2015/16-style extreme.

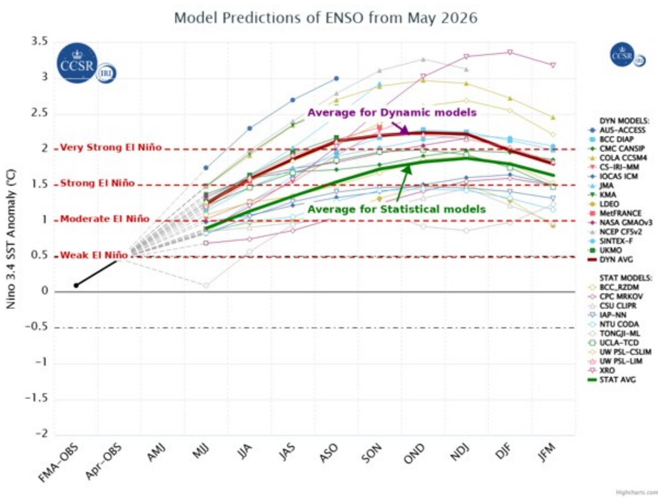
**The market likely prices El Niño probability, but not the crop-window distribution.** Investors already know El Niño can alter rainfall patterns. What is less fully priced is whether the event hits the exact windows that matter: India's monsoon, Brazil's Center-South cane crush, Mato Grosso / MATOPIBA soybean planting, and the safrinha corn calendar.

**Exhibit 4:** El Niño is now confirmed, while very-strong odds increased to 63% in Nov-Jan from 37% in the prior update

| Topic | Prior update | June update | Implication |
|---|---|---|---|
| ENSO status | El Niño Watch / transition risk rising | El Niño Advisory / conditions now present | Formation risk is largely de-risked |
| El Niño probability | 82% in MJJ; 96% in DJF | 97% in MJJ; 99% in DJF; 99–100% JJA–NDJ | Persistence into winter is now high confidence |
| Strength | 37% very strong in Nov-Jan; 33% in Oct-Dec; 31% in Dec-Feb | 63% very strong in Nov-Jan; 62% in Oct-Dec; 46% in Dec-Feb | Very strong scenario is now material |
| Ocean signal | Niño 3.4 +0.4°C; Niño 4 +0.5°C; Niño 1+2 +1.0°C | Niño 3.4 +0.7°C; Niño 4 +0.7°C; Niño 1+2 +2.1°C | Warming has broadened and intensified |
| Atmosphere | Coupling still pending | Westerly low-level wind anomalies, negative SOI and convection changes | Ocean-atmosphere coupling now supports advisory |
| Commodity read-through | Sugar cleanest channel; grains conditional | Same hierarchy, but stronger ENSO backdrop | Sugar remains first monitor; grains still need local weather confirmation |

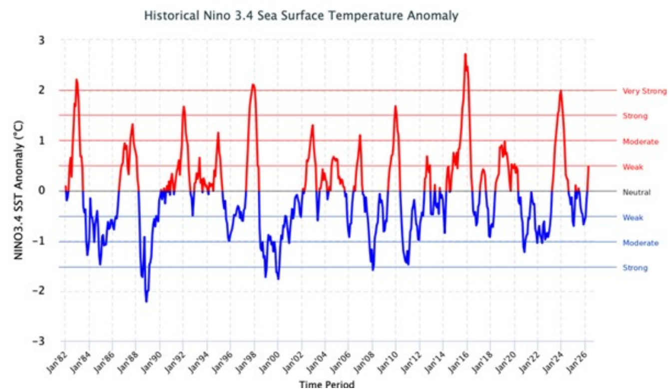
Source: Morgan Stanley Research.

**Exhibit 5:** El Niño strength distribution remains wide




*Data as of May-2026. Source: NOAA.

**Exhibit 6:** El Niño is now officially confirmed, with NOAA/CPC moving to El Niño Advisory as ocean and atmospheric indicators point to a coupled event




Source: NOAA.

**Exhibit 7:** ENSO Follows Seasonal Pattern: Peaking in Nov-Feb

**Oceanic Nino Index (ONI) by Season - 2000 to Latest Available**

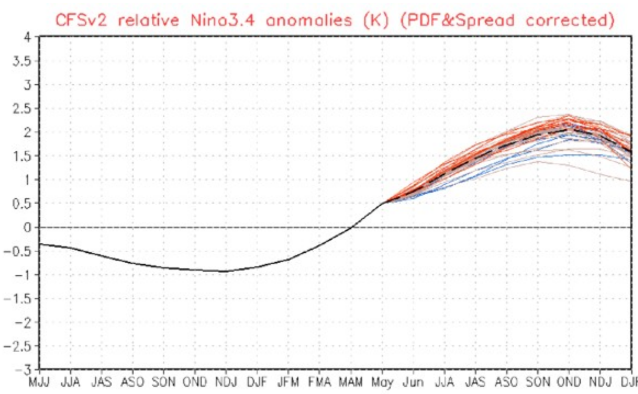
*NOAA CPC ONI v5; cells use simple thresholds: >= +0.5 warm, <= -0.5 cold; blanks are not yet available.*

| Year | DJF | JFM | FMA | MAM | AMJ | MJJ | JJA | JAS | ASO | SON | OND | NDJ |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 2000 | -1.7 | -1.4 | -1.1 | -0.8 | -0.7 | -0.6 | -0.6 | -0.5 | -0.5 | -0.6 | -0.7 | -0.7 |
| 2001 | -0.7 | -0.5 | -0.4 | -0.3 | -0.3 | -0.1 | -0.1 | -0.1 | -0.2 | -0.3 | -0.3 | -0.3 |
| 2002 | -0.1 | 0.0 | 0.1 | 0.2 | 0.4 | 0.7 | 0.8 | 0.9 | 1.0 | 1.2 | 1.3 | 1.1 |
| 2003 | 0.9 | 0.6 | 0.4 | 0.0 | -0.3 | -0.2 | 0.1 | 0.2 | 0.3 | 0.3 | 0.4 | 0.4 |
| 2004 | 0.4 | 0.3 | 0.2 | 0.2 | 0.2 | 0.3 | 0.5 | 0.6 | 0.7 | 0.7 | 0.7 | 0.7 |
| 2005 | 0.6 | 0.6 | 0.4 | 0.4 | 0.3 | 0.1 | -0.1 | -0.1 | -0.1 | -0.3 | -0.6 | -0.8 |
| 2006 | -0.9 | -0.8 | -0.6 | -0.4 | -0.1 | 0.0 | 0.1 | 0.3 | 0.5 | 0.8 | 0.9 | 0.9 |
| 2007 | 0.7 | 0.2 | -0.1 | -0.3 | -0.4 | -0.5 | -0.6 | -0.8 | -1.1 | -1.3 | -1.5 | -1.6 |
| 2008 | -1.6 | -1.5 | -1.3 | -1.0 | -0.8 | -0.6 | -0.4 | -0.2 | -0.2 | -0.4 | -0.6 | -0.7 |
| 2009 | -0.8 | -0.8 | -0.6 | -0.3 | 0.0 | 0.3 | 0.5 | 0.6 | 0.7 | 1.0 | 1.4 | 1.6 |
| 2010 | 1.5 | 1.2 | 0.8 | 0.4 | -0.2 | -0.7 | -1.0 | -1.3 | -1.6 | -1.6 | -1.6 | -1.5 |
| 2011 | -1.3 | -1.0 | -0.8 | -0.6 | -0.5 | -0.4 | -0.4 | -0.6 | -0.8 | -1.0 | -1.0 | -0.9 |
| 2012 | -0.7 | -0.6 | -0.5 | -0.4 | -0.2 | 0.1 | 0.3 | 0.4 | 0.4 | 0.3 | 0.1 | -0.1 |
| 2013 | -0.3 | -0.3 | -0.2 | -0.2 | -0.3 | -0.3 | -0.4 | -0.3 | -0.2 | -0.1 | -0.1 | -0.2 |
| 2014 | -0.3 | -0.3 | -0.1 | 0.2 | 0.3 | 0.2 | 0.1 | 0.1 | 0.3 | 0.5 | 0.7 | 0.8 |
| 2015 | 0.7 | 0.6 | 0.7 | 0.8 | 1.0 | 1.3 | 1.6 | 1.9 | 2.2 | 2.5 | 2.6 | 2.8 |
| 2016 | 2.6 | 2.3 | 1.7 | 1.0 | 0.5 | 0.0 | -0.3 | -0.5 | -0.6 | -0.6 | -0.6 | -0.5 |
| 2017 | -0.2 | 0.0 | 0.2 | 0.3 | 0.4 | 0.4 | 0.2 | -0.1 | -0.3 | -0.6 | -0.8 | -0.9 |
| 2018 | -0.8 | -0.7 | -0.6 | -0.4 | -0.1 | 0.1 | 0.1 | 0.3 | 0.5 | 0.8 | 1.0 | 0.9 |
| 2019 | 0.9 | 0.9 | 0.8 | 0.8 | 0.6 | 0.5 | 0.3 | 0.2 | 0.2 | 0.4 | 0.6 | 0.7 |
| 2020 | 0.6 | 0.6 | 0.5 | 0.3 | 0.0 | -0.2 | -0.4 | -0.5 | -0.8 | -1.1 | -1.2 | -1.1 |
| 2021 | -0.9 | -0.8 | -0.7 | -0.5 | -0.4 | -0.3 | -0.3 | -0.4 | -0.6 | -0.8 | -0.9 | -0.9 |
| 2022 | -0.8 | -0.8 | -0.9 | -1.0 | -0.9 | -0.8 | -0.8 | -0.9 | -1.0 | -0.9 | -0.8 | -0.7 |
| 2023 | -0.5 | -0.3 | 0.0 | 0.3 | 0.6 | 0.8 | 1.1 | 1.4 | 1.6 | 1.8 | 2.0 | 2.1 |
| 2024 | 1.9 | 1.6 | 1.3 | 0.8 | 0.5 | 0.2 | 0.1 | -0.1 | -0.2 | -0.2 | -0.3 | -0.4 |
| 2025 | -0.4 | -0.2 | -0.1 | 0.0 | 0.0 | 0.0 | -0.1 | -0.3 | -0.4 | -0.5 | -0.6 | -0.5 |
| 2026 | -0.4 | -0.1 | 0.1 | 0.5 | | | | | | | | |

| Legend | | |
|---|---|---|
| | Warm | >= +0.5 |
| | Neutral | 0.4 to +0.4 |
| | Cold | <= -0.5 |

Source: NOAA.

**Exhibit 8:** CFSv2 points to continued Niño 3.4 strengthening into OND/NDJ, with several ensemble members near or above the +2.0°C very strong threshold




Source: NOAA.

**NOAA now expects El Niño to strengthen into late 2026/early 2027, with a material risk of a very strong event.** El Niño conditions have already developed, with Niño 3.4 around +0.7°C and clear signs of ocean-atmosphere coupling. The latest outlook points to continued intensification into year-end, with ~60%+ probability of a very strong event during Nov–Jan, supported by elevated subsurface heat and persistent westerly wind anomalies.

**For markets, this raises the likelihood that weather risk will be priced earlier and more aggressively, even if realized crop losses remain uncertain.** That said, the setup still requires confirmation through sustained coupling and realized SST anomalies into 3Q. A weaker outcome remains possible if forecasts converge lower, which would moderate weather risk premia. The key nuance is that even a non-extreme event can still move prices materially if it overlaps with sensitive crop windows — particularly for sugar (Asia dryness/Brazil disruption) and for soybeans (which depend on the balance between Center-West losses and Southern zone gains).

**Exhibit 9:** Historical Super El Niño Episodes: Onset, peak intensity and duration of the three strongest historical analogues

| 1982–83 "Super El Niño" | | 1997–98 "Super El Niño" | |
|---|---|---|---|
| **Onset** | mid-1982; moderate by late Q3 | **Onset** | late spring 1997; rapid intensification |
| **Peak** | ~2.2°C above norm in NDJ 1982/83 | **Peak** | ~2.4°C in NDJ 1997/98 |
| **Duration** | ~12–15 months ≥1.0°C; ~6–7 months ≥1.5°C | **Duration** | ~12 months ≥1.0°C; ~8–9 months ≥1.5°C; fast rise & fall |

| 2015–16 "Super El Niño" | |
|---|---|
| **Onset** | spring 2015; gradual build from 2014 |
| **Peak** | ~2.6°C, record, in NDJ 2015/16 |
| **Duration** | ~15 months ≥1.0°C; ~9 months ≥1.5°C; extended event |

Source: NOAA CPC ONI , Morgan Stanley Research.

# Why Past El Niño Events Should Be Used — but Carefully

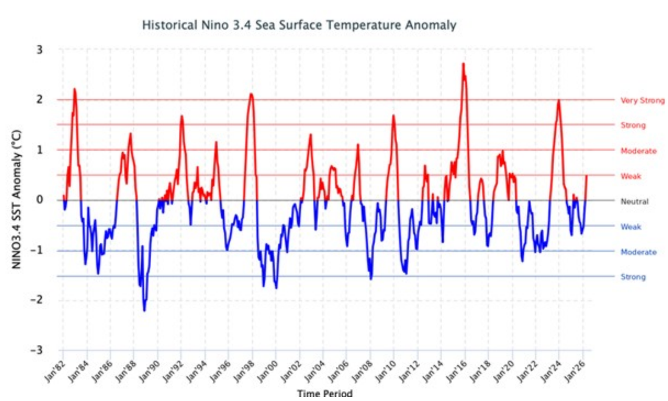
**Past El Niño events are essential because crop impact depends on timing, not just intensity.** Exhibit 5 shows that major events usually strengthen through the second half of the year and peak around November-February. That timing overlaps with Brazil soybean planting, Argentina crop establishment, Brazil cane crush tail risk, and the start of the safrinha setup.

**The 1982/83, 1997/98, and 2015/16 analogs define the tail scenario.** These events were extreme because they combined high Niño 3.4 anomalies with sustained ocean-atmosphere feedback. They are useful to understand what a "super" case could do, but they should not be treated as the base case for 2026.

**The 2023/24 analog is useful because it shows offset risk is not guaranteed.** In 2015/16, MT/MATOPIBA losses were largely offset by RS/PR/Argentina gains. In 2023/24, the offset was much weaker, and the net shortfall was larger. This matters because today's acreage mix, logistics footprint, and input-cost conditions differ from prior cycles.

**Analogs should guide probabilities, not dictate outcomes.** The same ONI peak can generate different crop outcomes depending on the rainfall distribution, planting pace, local soil moisture, input use, and export logistics. That is why we use past events as a framework, then map them to today's acreage and company exposure.

**Exhibit 10:** El Niño is now officially confirmed, with NOAA/CPC moving to El Niño Advisory as ocean and atmospheric indicators point to a coupled event




Source: NOAA.

**Exhibit 11:** Current conditions look closer to 2023 than to a more extreme 2015/16 setup

| Past El Niño Years | | | |
|---|---|---|---|
| Weak | Moderate | Strong | Very Strong |
| 1952-53 | 1951-52 | 1957-58 | 1982-83 |
| 1953-54 | 1963-64 | 1965-66 | 1997-98 |
| 1958-59 | 1968-69 | 1972-73 | 2015-16 |
| 1969-70 | 1986-87 | 1987-88 | |
| 1976-77 | 1994-95 | 1991-92 | |
| 1977-78 | 2002-03 | 2023-24 | |
| 1979-80 | 2009-10 | | |
| 2004-05 | | | |
| 2006-07 | | | |
| 2014-15 | | | |
| 2018-19 | | | |

Source: NOAA.

## Commodity Implications

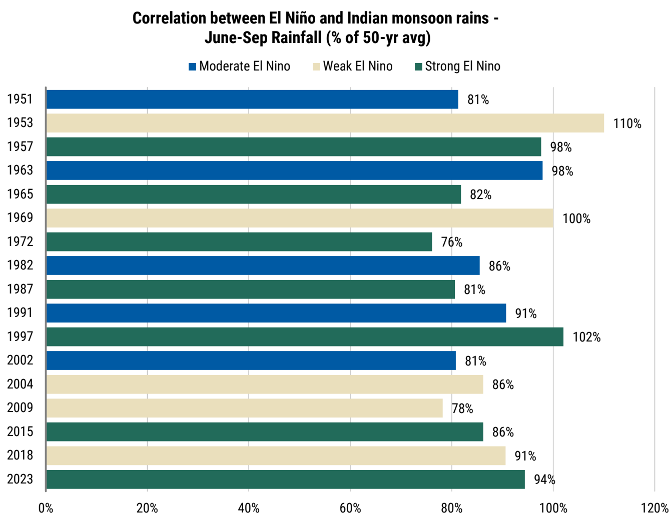
**Sugar remains the preferred commodity exposure.** It has the clearest weather channel, the strongest trade-flow transmission, and the most direct historical price sensitivity in the internal work. The risk is not just lower production; it is lower export availability from Asia and potentially weaker crush execution in Brazil.

**Soybeans need proof of net South American loss.** A Mato Grosso or MATOPIBA yield problem is not enough if Argentina and southern Brazil outperform. The investable signal is the net balance across MT, MATOPIBA, RS, PR, and Argentina.

**Corn is a timing option.** The market should become more constructive if Brazil soybean delays compress safrinha planting or if US July-August weather turns adverse. Without those triggers, corn should trade more on balance-sheet fundamentals than on El Niño headlines.

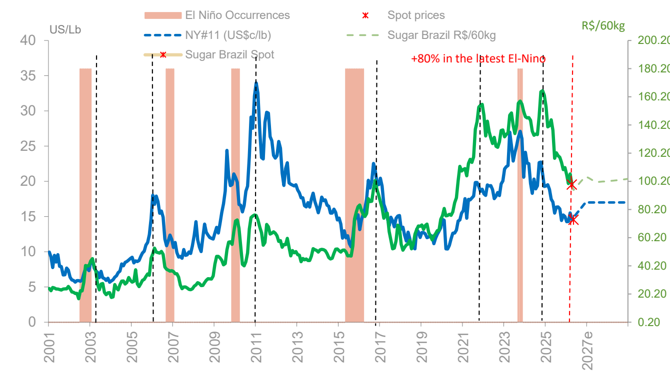
**Softs are higher-beta, trigger-dependent exposures.** Palm oil, robusta coffee, cotton, and fishmeal can all respond strongly, but each requires confirmation from regional weather and production data.

**Exhibit 12:** India usually receives below-normal rainfall during El Niño years. India is the world second largest sugar producer and below normal monsoon may reduce its sugar output potential



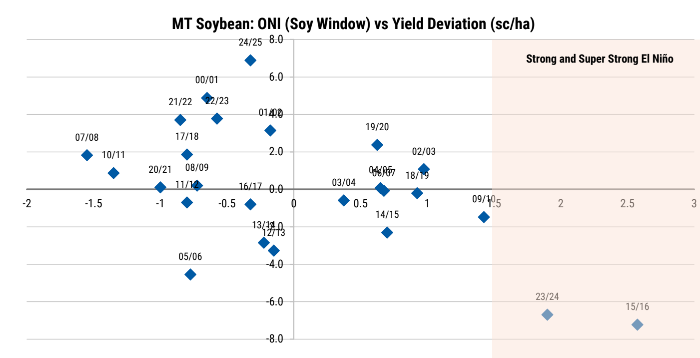

Source: Reuters, Indian Meteorological Department (100% = normal rainfall. Below 100% = weaker-than-normal monsoon. Above 100% = stronger-than-normal monsoon).

**Exhibit 13:** Sugar remains the cleanest bullish El Niño trade



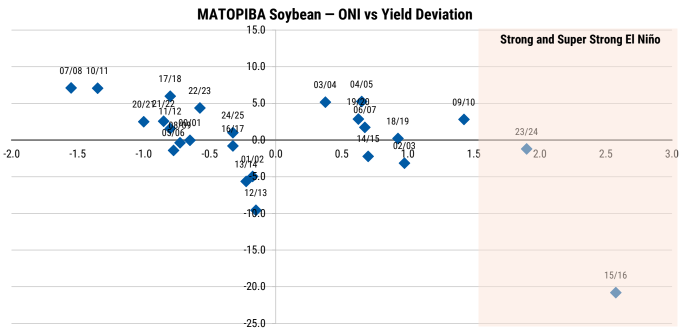

Source: Eikon Workspace, Morgan Stanley Research.

**Exhibit 14:** Strong El Niño historically leads to soybean yield losses in MT, which is the largest producing state with 29% of national output



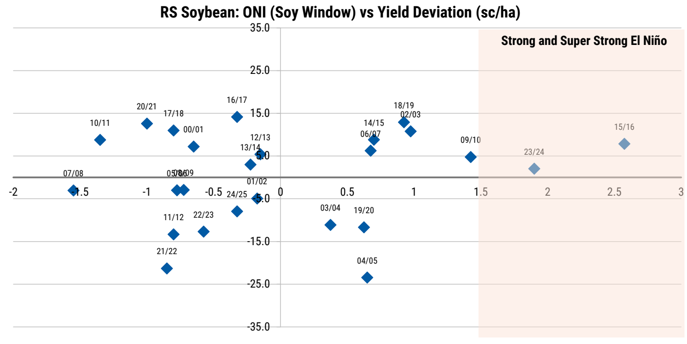

Source: NOAA, Conab, IMEA, Morgan Stanley Estimates.

**Exhibit 15:** and to yield pressure in Matopiba, important grain frontier formed by Maranhão, Tocantins, Piauí and Bahia



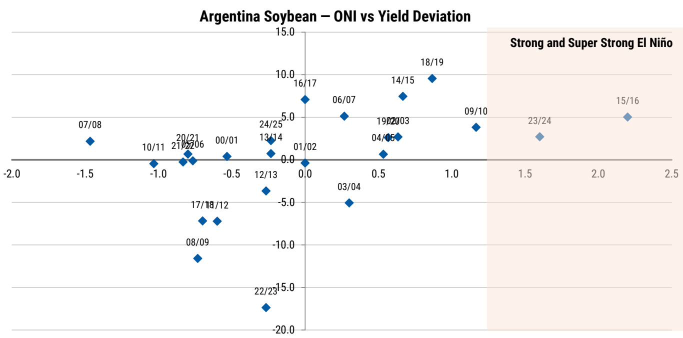

Source: NOAA, Conab, IMEA, Morgan Stanley Estimates.

**Exhibit 16:** But, El Niño has historically supported higher soybean yields in Rio Grande do Sul...




Source: NOAA, Conab, IMEA, Morgan Stanley Estimates.

**Exhibit 17:** ...and better yields in Argentina




Source: NOAA,USDA, Bolsa de Cereales, Morgan Stanley Estimates.

**Exhibit 18:** Tempo OK Forecast Summary

Resumo da previsão Tempo OK

| Período | Trigo | Milho/Soja | Cana de açúcar | Café |
|---|---|---|---|---|
| **Jun-ago** Inverno **Início do El Niño** | Chuva excessiva e falta de frio frequente penalizam o trigo no Sul. | Maior estrago na 2ª safra de milho por conta do atraso do plantio da soja na primavera passada. EUA com chuva frequente. | Chuva excessiva na colheita do PR, MS e oeste e sudoeste de SP. Tempo seco prolongado em GO, MG e norte de SP. | Eventuais precipitações podem piorar qualidade do grão. |
| **Set-out** Início da primavera **Intensificação do El Niño** | Chuva excessiva e falta de frio frequente penalizam o trigo no Sul. | Calor excessivo e chuva irregular no Sudeste e Centro-Oeste. Chuva frequente no Sul. | Muito calor e risco de queimadas em GO, MG e norte de SP. | Atenção ao calor excessivo. |
| **Nov-dez** Primavera **El Niño moderado/forte** | Dificuldade na colheita. Na média, a perda oscila entre 10% e 15% em anos de El Niño comparado com a safra anterior (Conab). | Atraso no plantio no Matopiba. Chuva regulariza no Sudeste e Centro-Oeste. Risco de estiagem menor no Sul. | Chuva abaixo da média, porém mais regular no Centro e Sul do Brasil. | Chuva abaixo da média e eventuais estiagens na Zona da Mata de MG e, principalmente, no ES. |
| **Jan-mar** Verão **Continuidade do El Niño** | - | Quebra na safra do Matopiba, porém melhor desempenho no Sul. Atenção para perdas na 2ª safra de milho. Em média, em anos de El Niño, as perdas variam entre 10% e 12% (Conab). | Atenção às quebras de produtividade na Índia. No Brasil, chuva corta mais cedo no início do outono. | Nos anos anteriores, com El Niño, o café Robusta teve maior quebra de produção comparado ao Arábica (Estiagem no ES). |

Source:

Tempo OK

**Exhibit 19:** Marcus Weather Risk Outlook Summary

## 2026 Weather Risk Outlook

May 6, 2026

### Regional Crop Impact Matrix by ENSO Phase

Typical yield impact direction and severity across major producing regions

El Nino | La Nina

*Some of these risks will be discussed*

| Region | WHEAT | RICE | MAIZE | SOY | SUGAR | COFFEE | PALM OIL |
|---|---|---|---|---|---|---|---|
| S/SE Asia | Minimal | Strong - | Mild - | Minimal | Strong - | Mild - | Strong - |
| Australia | Strong - | Mild - | Minimal | Minimal | Mild - | Minimal | Minimal |
| S. America | Minimal | Minimal | Mild + | Strong + | Mild - | Strong - | Minimal |
| N. America | Mild - | Minimal | Mild - | Mild + | Minimal | Minimal | Minimal |
| Africa | Minimal | Minimal | Strong - | Minimal | Mild - | Mild - | Minimal |

Strong negative | Mild negative | Minimal | Mild positive | Strong positive

Source: Marcus Weather

# What to Watch Next

**Ocean-atmosphere coupling is the first confirmation test.** Previous super El Niños required sustained feedback between the ocean and atmosphere through summer. Weak or reversed Pacific trade winds into June-August would raise the odds of a very strong event; a recovery in trade winds would reduce the tail risk.

**Observed SSTs should be tested against model forecasts by late 3Q.** If Niño 3.4 warming lags aggressive forecasts by August-September, the "super" narrative should fade. If observed anomalies converge toward +2.0°C or higher, the tail becomes more investable.

**Asia rainfall is the first commodity trigger.** India, Thailand, Indonesia, Malaysia, and Vietnam are the key watchpoints for sugar, palm oil, cotton, and robusta coffee.

**Brazil execution is the second commodity trigger.** For sugar, watch Brazil Center-South crush days, ATR, and cane carryover. For grains, watch Mato Grosso / MATOPIBA soybean planting, January-March rainfall, and safrinha corn timing.

**Company exposure should be monitored through local data,** not ENSO headlines. For Rumo, monitor Mato Grosso export flows and corn/soy volumes. For AGRO, monitor Argentina crop ratings and rainfall. For SLCE, monitor Center-West / Bahia rainfall and planting progress.

**Exhibit 20:**

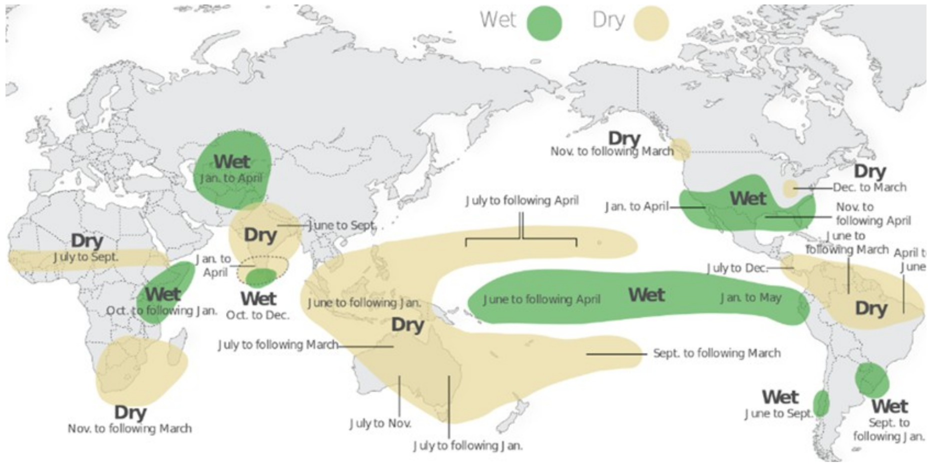
The confirmation checklist: coupling, SSTs, Asia rainfall, Brazil execution, equity exposure

| Metric | Key monitor | Trigger | What it changes | Investment read-through |
|---|---|---|---|---|
| ENSO coupling | Pacific trade winds; ocean-atmosphere feedback through Jun-Aug | Weak or reversed trade winds; sustained coupling | Raises odds of very strong El Nino; weather risk becomes more investable | Raises monitoring intensity across sugar, grains and ag equities |
| Nino 3.4 | Observed SST anomalies vs model forecasts by Aug-Sep | Observed anomalies converge toward +2C degrees or higher | Confirms stronger El Nino tail; validates risk premium | If warming lags forecasts, super El Nino narrative should fade |
| Asia rainfall | India, Thailand, Indonesia, Malaysia, Vietnam rainfall | Below-normal monsoon or persistent SE Asia dryness | First commodity trigger; tightens sugar and softs balance | Bullish sugar; supportive for palm oil, cotton and robusta coffee |
| Brazil crop execution | CS Brazil crush days, ATR, cane carryover; MT/MATOPIBA planting, Jan-Mar rainfall, safrinha timing | Excess rain disrupts crush; dryness delays soybean planting or compresses safrinha window | Second commodity trigger; shifts risk from weather narrative to realized crop loss | Sugar supported if crush execution weakens; grains turn bullish if MT/MATOPIBA stress materializes |
| Company indicators | Rumo MT export flows and grain volumes; AGRO Argentina rainfall/crop ratings; SLCE Center-West/Bahia rainfall and planting progress | Local data confirms volume risk, rainfall benefit, or crop stress | Separates commodity price upside from company operating risk | Rumo: volume/timing risk; AGRO: Argentina rainfall beneficiary; SLCE: MT/Bahia/MATOPIBA downside risk |

Source: NOAA CPC, IMD, Conab, IMEA, Eikon Workspace, Morgan Stanley Research..

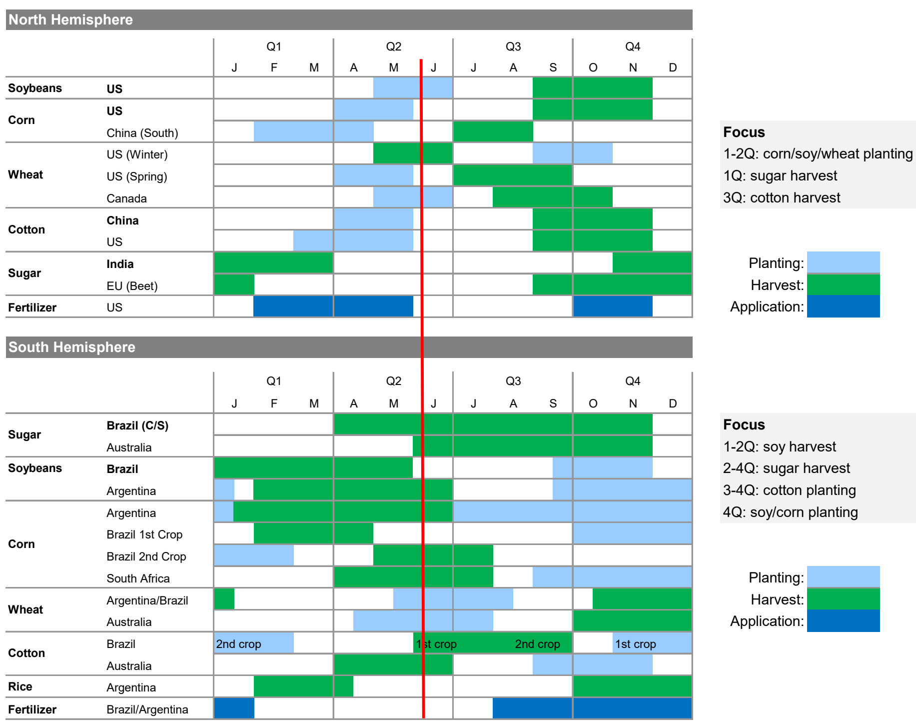
# El Nino Weather Impact

**Exhibit 21:** El Niño Impacts on Global Weather




Source: NOAA.

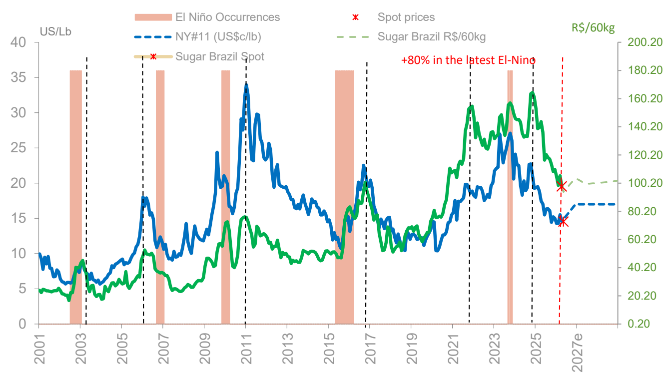
**Exhibit 22:** Crop Calendar




Source: Eikon, Morgan Stanley Research.

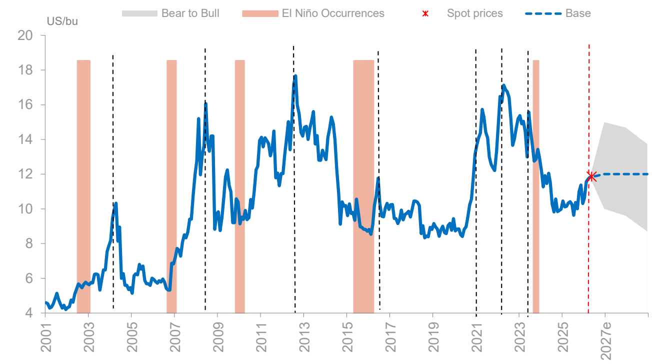
# Commodity prices and El Niño

**Exhibit 23:** Sugar remains the cleanest bullish El Niño trade.



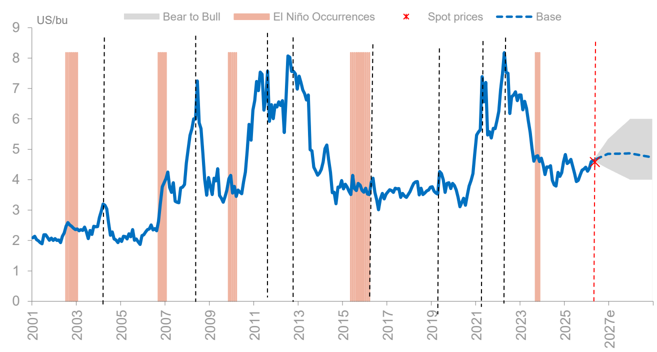

Source: Eikon Workspace, Morgan Stanley Research.

**Exhibit 24:** We expect prices impact to Soybeans to be more balanced




Source: Eikon Workspace, Morgan Stanley Research.

**Exhibit 25:** While Corn Could face upside risk, due to shorter planting windows




Source: Eikon Workspace, Morgan Stanley Research.

# Analog Years

**Exhibit 26:** ENSO Follows Seasonal Pattern: Peaking in Nov-Feb Current conditions look closer to 2023 than to a more extreme 2015/16 setup

**Oceanic Nino Index (ONI) by Season - 2000 to Latest Available**

*NOAA CPC ONI v5; cells use simple thresholds: >= +0.5 warm, <= -0.5 cold; blanks are not yet available.*

| Year | DJF | JFM | FMA | MAM | AMJ | MJJ | JJA | JAS | ASO | SON | OND | NDJ |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 2000 | -1.7 | -1.4 | -1.1 | -0.8 | -0.7 | -0.6 | -0.6 | -0.5 | -0.5 | -0.6 | -0.7 | -0.7 |
| 2001 | -0.7 | -0.5 | -0.4 | -0.3 | -0.3 | -0.1 | -0.1 | -0.1 | -0.2 | -0.3 | -0.3 | -0.3 |
| 2002 | -0.1 | 0.0 | 0.1 | 0.2 | 0.4 | 0.7 | 0.8 | 0.9 | 1.0 | 1.2 | 1.3 | 1.1 |
| 2003 | 0.9 | 0.6 | 0.4 | 0.0 | -0.3 | -0.2 | 0.1 | 0.2 | 0.3 | 0.3 | 0.4 | 0.4 |
| 2004 | 0.4 | 0.3 | 0.2 | 0.2 | 0.2 | 0.3 | 0.5 | 0.6 | 0.7 | 0.7 | 0.7 | 0.7 |
| 2005 | 0.6 | 0.6 | 0.4 | 0.4 | 0.3 | 0.1 | -0.1 | -0.1 | -0.1 | -0.3 | -0.6 | -0.8 |
| 2006 | -0.9 | -0.8 | -0.6 | -0.4 | -0.1 | 0.0 | 0.1 | 0.3 | 0.5 | 0.8 | 0.9 | 0.9 |
| 2007 | 0.7 | 0.2 | -0.1 | -0.3 | -0.4 | -0.5 | -0.6 | -0.8 | -1.1 | -1.3 | -1.5 | -1.6 |
| 2008 | -1.6 | -1.5 | -1.3 | -1.0 | -0.8 | -0.6 | -0.4 | -0.2 | -0.2 | -0.4 | -0.6 | -0.7 |
| 2009 | -0.8 | -0.8 | -0.6 | -0.3 | 0.0 | 0.3 | 0.5 | 0.6 | 0.7 | 1.0 | 1.4 | 1.6 |
| 2010 | 1.5 | 1.2 | 0.8 | 0.4 | -0.2 | -0.7 | -1.0 | -1.3 | -1.6 | -1.6 | -1.6 | -1.5 |
| 2011 | -1.3 | -1.0 | -0.8 | -0.6 | -0.5 | -0.4 | -0.4 | -0.6 | -0.8 | -1.0 | -1.0 | -0.9 |
| 2012 | -0.7 | -0.6 | -0.5 | -0.4 | -0.2 | 0.1 | 0.3 | 0.4 | 0.4 | 0.3 | 0.1 | -0.1 |
| 2013 | -0.3 | -0.3 | -0.2 | -0.2 | -0.3 | -0.3 | -0.4 | -0.3 | -0.2 | -0.1 | -0.1 | -0.2 |
| 2014 | -0.3 | -0.3 | -0.1 | 0.2 | 0.3 | 0.2 | 0.1 | 0.1 | 0.3 | 0.5 | 0.7 | 0.8 |
| 2015 | 0.7 | 0.6 | 0.7 | 0.8 | 1.0 | 1.3 | 1.6 | 1.9 | 2.2 | 2.5 | 2.6 | 2.8 |
| 2016 | 2.6 | 2.3 | 1.7 | 1.0 | 0.5 | 0.0 | -0.3 | -0.5 | -0.6 | -0.6 | -0.6 | -0.5 |
| 2017 | -0.2 | 0.0 | 0.2 | 0.3 | 0.4 | 0.4 | 0.2 | -0.1 | -0.3 | -0.6 | -0.8 | -0.9 |
| 2018 | -0.8 | -0.7 | -0.6 | -0.4 | -0.1 | 0.1 | 0.1 | 0.3 | 0.5 | 0.8 | 1.0 | 0.9 |
| 2019 | 0.9 | 0.9 | 0.8 | 0.8 | 0.6 | 0.5 | 0.3 | 0.2 | 0.2 | 0.4 | 0.6 | 0.7 |
| 2020 | 0.6 | 0.6 | 0.5 | 0.3 | 0.0 | -0.2 | -0.4 | -0.5 | -0.8 | -1.1 | -1.2 | -1.1 |
| 2021 | -0.9 | -0.8 | -0.7 | -0.5 | -0.4 | -0.3 | -0.3 | -0.4 | -0.6 | -0.8 | -0.9 | -0.9 |
| 2022 | -0.8 | -0.8 | -0.9 | -1.0 | -0.9 | -0.8 | -0.8 | -0.9 | -1.0 | -0.9 | -0.8 | -0.7 |
| 2023 | -0.5 | -0.3 | 0.0 | 0.3 | 0.6 | 0.8 | 1.1 | 1.4 | 1.6 | 1.8 | 2.0 | 2.1 |
| 2024 | 1.9 | 1.6 | 1.3 | 0.8 | 0.5 | 0.2 | 0.1 | -0.1 | -0.2 | -0.2 | -0.3 | -0.4 |
| 2025 | -0.4 | -0.2 | -0.1 | 0.0 | 0.0 | 0.0 | -0.1 | -0.3 | -0.4 | -0.5 | -0.6 | -0.5 |
| 2026 | -0.4 | -0.1 | 0.1 | 0.5 | | | | | | | | |

**Legend**

| | |
|---|---|
| Warm | >= +0.5 |
| Neutral | 0.4 to +0.4 |
| Cold | <= -0.5 |

Source: NOAA.

# Valuation Methodology and Risks

**ADECOAGRO S.A. (AGRO.N)**

In our bull case, we assume Profertil generates US$335 million in EBITDA, supported by a urea price of US$490/ton and gas costs of US$4.33/mmbtu. For the Sugar & Ethanol (S&E) segment, we assume sugar at 22¢/lb and value the business at US$70 EV/ton. These upside assumptions imply valuation multiples of 4.3x EV/EBITDA and 8.5x P/E in 2026

**Risks to Upside**

- Lower Gas prices in Argentina
- **Higher Ammonia Prices**
- **Weather disruptions in India** can maintain sugar prices high.
- **Higher Oil prices can increase ethanol price.**

**Risks to Downside**

- Fuel policies in Brazil: lower ethanol prices
- **Further macro deterioration** in Argentina.
- **Higher production costs** for sugar in Brazil.
- **Weather** impact on yields.
- **Lower Brent** for longer.
- **FX**
- **Higher Gas prices** in Argentina

**Rumo SA (RAIL3.SA)**

Our price target is based on a full DCF Model (WACC: 12.5%; g: 1%).

**Risks to Upside**

- Bigger Crop
- Market share gains
- Higher yields for longer
- LRV project surprises positively

**Risks to Downside**

- Lower Brazilian Crop
- Disappointing volumes
- Adverse Weather that could affect crops and export volumes
- Lower pricing power
- Lower Yields
- Regulatory changes and lawsuits
- New competing projects
- More Investment in infrastructure that decreases existing bottlenecks

**SLC Agricola S.A. (SLCE3.SA)**

Derived from our DCF methodology assuming a 14.1% WACC and a 3.0% terminal growth rate (in R$).

**Risks to Upside**

- La Niña could increase yields
- **Extraordinary dividends.**
- **Productivity and profitability gains.**
- **Weaker BRL.**

**Risks to Downside**

- Cotton demand and prices.
- **Weaker demand for feed** could pressure grain prices.
- **Crop failure:** Weather disruptions
- **Stronger BRL.**

**Sao Martinho SA (SMTO3.SA)**

Derived from our sum-of-the-parts valuation using US$60/ton for the S/E business with sugar prices at $17c/lb and Corn Ethanol Operations at 6x EBITDA of R$360

**Risks to Upside**

- Stronger results, if ethanol prices becomes more attractive than Sugar. Higher Oil prices, weaker FX
- **Corn ethanol plant** could affect shares if results (margins) exceed expectations
- **Global Supply Disruptions:** India below expected

**Risks to Downside**

- Fuel policies in Brazil: changes could keep ethanol prices low
- **Sugar prices:** lower oil prices, Weather events may affect yield
- **Stronger BRL** reducing export revenues

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(as of May 31, 2026)

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| Stock Rating Category | Coverage Universe Count | Coverage Universe % of Total | Investment Banking Clients (IBC) Count | Investment Banking Clients (IBC) % of Total IBC | Investment Banking Clients (IBC) % of Rating Category | Other Material Investment Services Clients (MISC) Count | Other Material Investment Services Clients (MISC) % of Total Other MISC |
|---|---|---|---|---|---|---|---|
| Overweight/Buy | 1542 | 42% | 465 | 51% | 30% | 707 | 43% |
| Equal-weight/Hold | 1571 | 43% | 369 | 40% | 23% | 723 | 44% |
| Not-Rated/Hold | 3 | 0% | 0 | 0% | 0% | 1 | 0% |
| Underweight/Sell | 551 | 15% | 86 | 9% | 16% | 201 | 12% |
| Total | 3,667 | | 920 | | | 1632 | |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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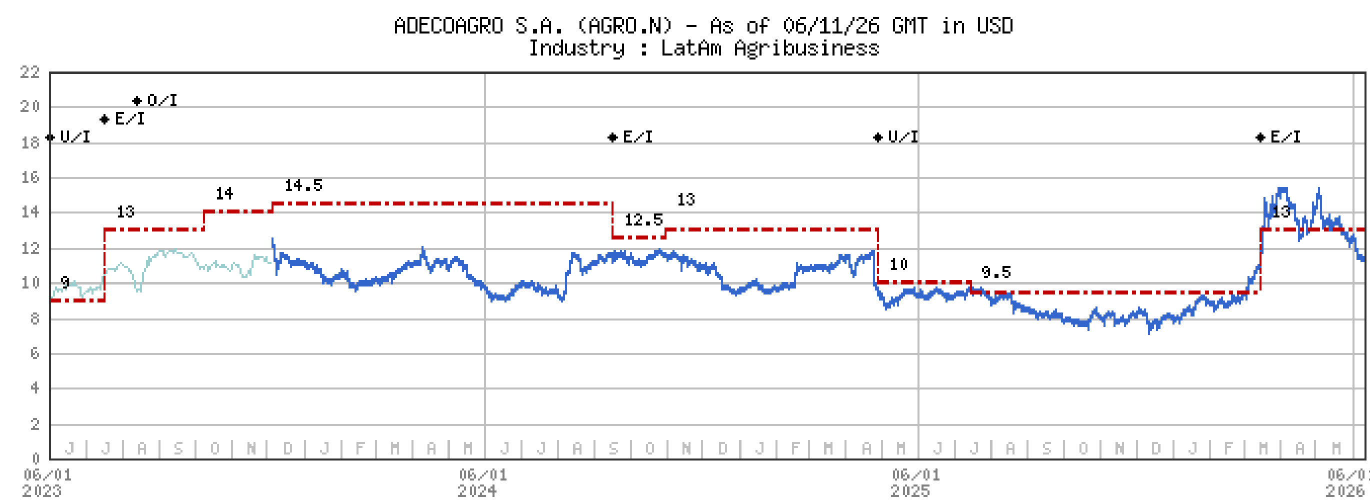
## Stock Price, Price Target and Rating History (See Rating Definitions)




Stock Rating History: 6/1/21 : E/I; 10/18/21 : O/I; 12/14/22 : E/I; 2/6/23 : U/I; 7/17/23 : E/I; 8/14/23 : O/I; 9/17/24 : E/I; 4/28/25 : U/I; 3/16/26 : E/I

Price Target History: 1/12/21 : 9; 10/18/21 : 12; 12/14/21 : 11.5; 5/27/22 : 12.5; 8/3/22 : 11; 11/7/22 : 11.5; 12/14/22 : 10; 2/6/23 : 9; 7/17/23 : 13; 10/9/23 : 14; 12/5/23 : 14.5; 9/17/24 : 12.5; 10/31/24 : 13; 4/28/25 : 10; 7/15/25 : 9.5; 3/16/26 : 13

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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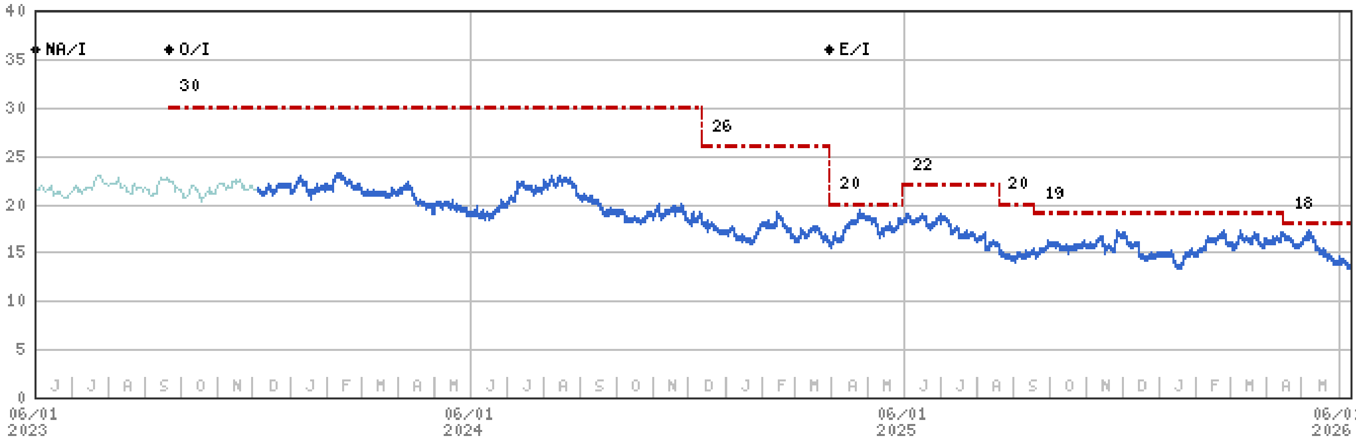
Rumo SA (RAIL3.SA) - As of 06/11/26 GMT in BRL
Industry : LatAm Agribusiness




Stock Rating History: 6/1/21 : O/I; 5/24/23 : NA/I; 9/21/23 : O/I; 3/30/25 : E/I

Price Target History: 3/7/21 : 24.5; 10/28/21 : 24; 11/19/21 : 25; 2/4/22 : 22; 8/19/22 : 25; 12/2/22 : 24; 5/24/23 : NA; 9/21/23 : 30; 12/12/24 : 26; 3/30/25 : 20; 5/30/25 : 22; 8/19/25 : 20; 9/17/25 : 19; 4/15/26 : 18

Source: Morgan Stanley Research    Date Format : MM/DD/YY    Price Target --    No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --    Stock Price (Covered by Current Analyst) ■
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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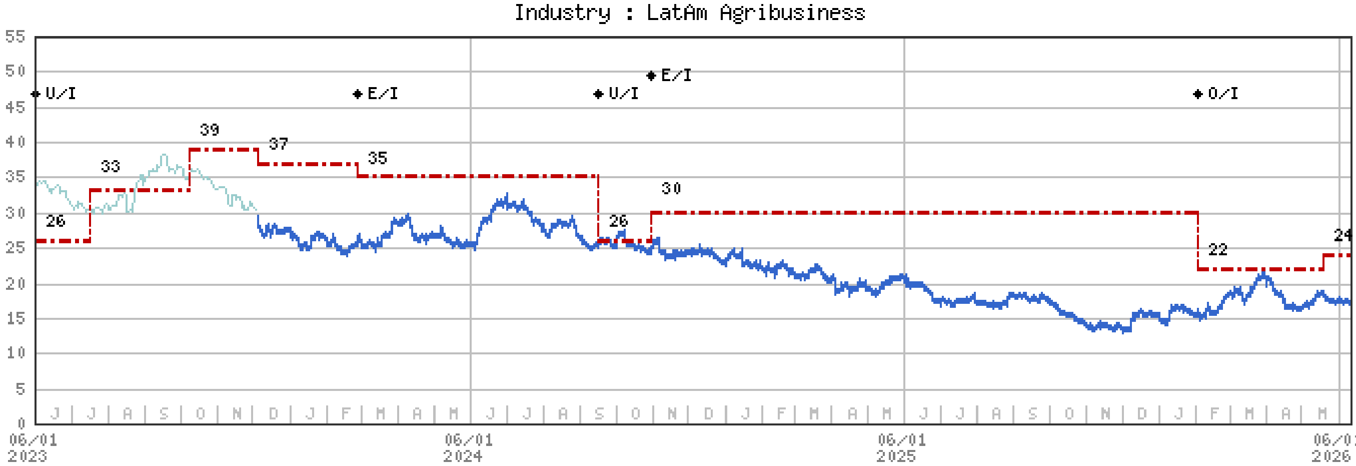
Sao Martinho SA (SMTO3.SA) - As of 06/11/26 GMT in BRL
Industry : LatAm Agribusiness




Stock Rating History: 6/1/21 : E/I; 12/14/22 : U/I; 2/27/24 : E/I; 9/17/24 : U/I; 10/31/24 : E/I; 2/2/26 : O/I

Price Target History: 3/28/21 : 31; 10/18/21 : 42; 5/27/22 : 48; 8/3/22 : 42; 12/14/22 : 26; 7/17/23 : 33; 10/9/23 : 39; 12/5/23 : 37; 2/27/24 : 35; 9/17/24 : 26; 10/31/24 : 30; 2/2/26 : 22; 5/19/26 : 24

Source: Morgan Stanley Research    Date Format : MM/DD/YY    Price Target --    No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --    Stock Price (Covered by Current Analyst) ■
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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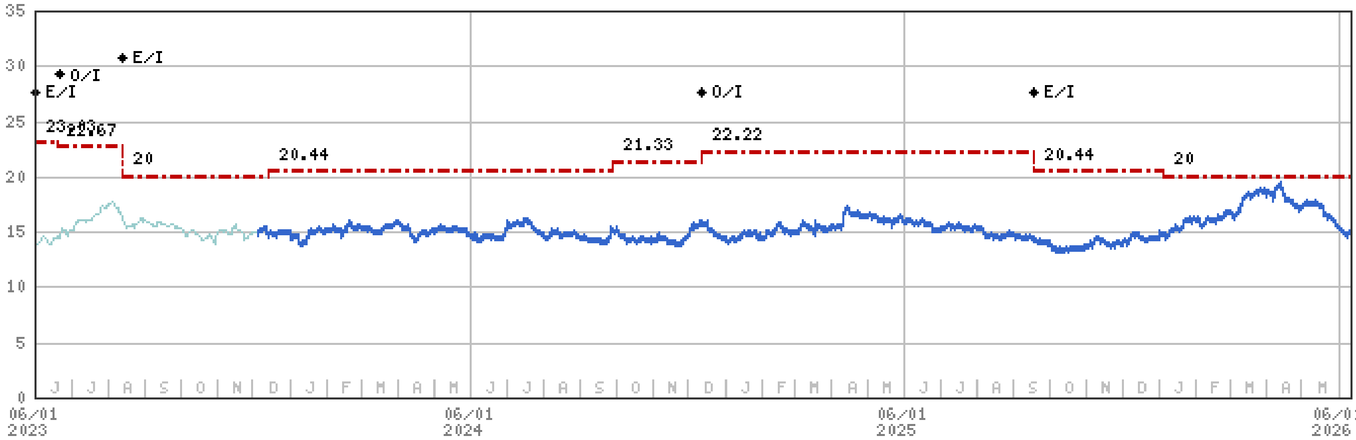
SLC Agricola S.A. (SLCE3.SA) - As of 06/11/26 GMT in BRL
Industry : LatAm Agribusiness



Stock Rating History: 6/1/21 : NA/I; 6/22/21 : NA/I; 9/24/21 : U/I; 2/6/23 : E/I; 6/22/23 : O/I; 8/14/23 : E/I; 12/12/24 : O/I; 9/17/25 : E/I

Price Target History: 5/24/21 : NA; 6/22/21 : NA; 9/24/21 : 13.59; 12/14/21 : 12.86; 8/3/22 : 15.76; 11/7/22 : 20.61; 2/6/23 : 23.03; 6/19/23 : 22.67; 8/14/23 : 20; 12/14/23 : 20.44; 9/29/24 : 21.33; 12/12/24 : 22.22; 9/17/25 : 20.44; 1/5/26 : 20

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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| COMPANY (TICKER) | RATING (AS OF) | PRICE* (06/10/2026) |
|---|---|---|
| **Javier Martinez de Olcoz Cerdan** | | |
| Sociedad Quimica y Minera de Chile S.A. (SQM.N) | | US$80.44 |
| **Julia Rizzo** | | |
| ADECOAGRO S.A. (AGRO.N) | E (03/16/2026) | US$11.69 |
| Rumo SA (RAIL3.SA) | E (03/30/2025) | R$13.30 |
| Sao Martinho SA (SMTO3.SA) | O (02/02/2026) | R$16.90 |
| SLC Agricola S.A. (SLCE3.SA) | E (09/17/2025) | R$14.89 |

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* Historical prices are not split adjusted.

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